

EXECUTIVE RESEARCH BRIEF

UK MICRO ACCOUNTING PRACTICE / WORKED CASE / 2026

Start with one workflow. Scale only when the evidence holds.

A step-by-step adoption method for a fictional seven-person practice.

SECONDARY EVIDENCE ONLY

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EXECUTIVE BRIEF

Turn adoption evidence into a controlled business decision

Cedar Ledger Ltd is a fictional seven-person accounting practice. The case demonstrates a reusable implementation method; it does not report a real firm's results and does not promise savings, ROI or a successful adoption outcome.

7 payroll employees Illustrative firm inside the micro-employer band	4 adoption methods Use, integrate, automate and configure	6 decision gates Scope, data, test, shadow, pilot and scale
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Case verdict

A micro practice should begin with one measured workflow and the least complex method that can solve it. The strongest current accounting evidence favours controlled transaction-processing, reconciliation and close support with exception handling and professional review.

- Governance starts before tool selection and remains active across every pathway.
- Known-case testing and shadow mode precede reliance on output.
- Review, correction, training, assurance and incident costs stay inside the benefit boundary.
- Scale, limited use, delay and no adoption are all valid outcomes.

Evidence boundary

Official DSIT micro-business results cover firms with 5–9 employees. The fictional practice therefore has seven employees. Its client count, workload, pilot size, timetable and thresholds are scenario assumptions, not UK accounting-sector estimates.

01 THE FICTIONAL PRACTICE

Cedar Ledger Ltd

Case item	Illustrative assumption	Status
People	Seven payroll employees: owner-director, senior accountant, three accountants/bookkeepers, payroll specialist and administrator	Fits official micro band; role mix is invented
Clients	180 small-business and sole-trader clients	Scenario input; not a sector average
Systems	Cloud ledger, payroll, document portal and email	Illustrative operating environment
Problem	Manual exceptions and close review consume scarce senior time	Hypothesis to measure, not an observed fact
Initial workflow	Transaction categorisation, reconciliation and close support	Chosen from strongest accounting evidence
Excluded	Autonomous tax/audit conclusions, material postings and unreviewed advice	Control boundary

Why this case is useful

The case makes implementation choices visible without pretending that a fictional outcome is evidence. A real firm can copy the sequence, replace the assumptions with its own systems and baseline, and retain the same decision gates.

Do not copy Cedar Ledger's client count, pilot size or timetable into a business case. Copy the measurement and decision method.

02 CHOOSE THE METHOD

Four routes and one valid no-go decision

Method	Choose when	Accounting examples	Complexity
Use	The task needs assistive language or research but no live system connection	Internal research, summaries, draft procedures	Lowest
Integrate	The task repeats inside an existing ledger or workflow	Coding, matching, reconciliation, close exceptions	Moderate
Automate	Triggers, actions, permissions and failure states can be bounded	Exception routing, tasks, draft reminders	Higher
Configure	Value depends on approved firm knowledge	Procedure and template retrieval with citations	Moderate-higher
Do not adopt	The task is hard to verify, high-consequence or poorly measured	Professional conclusions and material decisions	Valid outcome

Micro-practice design principle

Buy or configure a controlled service before custom development. DSIT found in-house development uncommon, and accounting adoption studies identify compatibility, infrastructure, skills, financial readiness, trust and vendor support as relevant adoption conditions. These studies explain conditions; they do not prove business benefit.

The pathways are operating choices, not maturity levels. A firm can use one without progressing to the next.

03 COMMON FOUNDATION

Six steps before any pilot

Step	Action	Evidence / gate
1	Name accountable owner, qualified reviewer and operational lead	Signed responsibility and rollback record
2	Map one workflow from trigger to final sign-off	Inputs, systems, exceptions and judgement points visible
3	Collect four weeks of baseline data	Volume, time, review, corrections, exceptions and incidents
4	Classify data and professional consequence	Permitted data, environment and use approved
5	Choose Use, Integrate, Automate, Configure or no adoption	Task-system fit and consequence justify the choice
6	Pre-register measures, total cost and stop rules	Decision rules fixed before results are seen

Govern, map, measure, manage

The sequence tailors NIST's voluntary AI RMF functions to a resource-constrained accounting practice. It also incorporates ICO data-protection questions, NCSC lifecycle security and FRC professional-review controls. None of those sources is evidence of productivity benefit.

If the workflow cannot be measured or the firm cannot name a qualified reviewer, Cedar Ledger stops before purchasing a tool.

04 PATHWAY A — USE

Approved standalone assistance

Best fit: internal research, summaries and first drafts. Client-identifiable data are excluded until the data route and purpose are explicitly approved.

Step	Action	Evidence / gate
1–2	Approve one controlled tool; document prohibited data and permitted tasks	Terms, retention, access and training use accepted
3	Create bounded prompts requiring sources, caveats and output format	Prompt set approved by qualified reviewer
4–5	Prepare 20 known tasks and run them with two intended users	Illustrative test size; no client-identifiable data
6	Score factual support, omissions, confidentiality and correction time	Failures are investigated, not averaged away
7	Permit limited live use for approved internal tasks	Source checking and named approval enforced
8	Review usage, corrections and incidents after four weeks	Continue, revise or stop

The 20 tasks, two users and four weeks are illustrative case choices. A real firm sets its own test size based on task variation and consequence.

05 PATHWAY B — INTEGRATE

Transaction and close support

This is the case's central pathway because it connects to the strongest accounting-specific field evidence. The evidence concerns an integrated platform with workflow management and human review—not an isolated chatbot.

Step	Action	Evidence / gate
1	Select one measured bottleneck in coding, reconciliation or close	Workflow outcome, not generic AI objective
2	Review supplier data flows, access, retention, logs, export and exit	Assurance questions resolved
3–4	Test historical known cases, unusual items and failure-prone work	Suggestions, confidence, exceptions and review time compared
5	Run two close cycles in shadow mode	Current process remains authoritative; disagreements logged
6	Pilot with 10 illustrative low-complexity clients	Scenario size only; segment and reviewer approved
7–8	Route exceptions and prohibit automatic material postings	Original, suggestion, review and override retained
9	Compare full effort, quality and cost after two live cycles	Scale by segment, revise or stop

Human-AI gate

The accounting field study found average classification improvement in a framed task but also greater error risk when accountants followed inaccurate or non-consensus suggestions. Cedar Ledger therefore tests exception behaviour and retains professional override.

06 PATHWAY C — AUTOMATE

Bound actions before granting autonomy

Best fit: internal exception routing, task creation, evidence requests and draft reminders. External messages and ledger postings remain approval-gated.

Step	Action	Evidence / gate
1	Draw trigger → data → decision → action → review → log	Every action and reviewer visible
2	Use deterministic rules where ordinary rules are sufficient	AI limited to genuinely uncertain steps
3	Make the first release read-only or draft-only	Permissions enforce the boundary
4	Test missing, wrong-client, conflict, duplicate, unusual and outage cases	Failures route safely to named staff
5	Shadow proposed actions against staff decisions	False and missed actions reviewed
6	Require approval for client communication and ledger action	Approval log retained
7–8	Monitor, pause and re-authorise after material change	Rollback works; logging and fallback remain available

Automation is not justified by labour saving alone. A task must have bounded permissions, observable failure, a named exception owner and a tested manual fallback.

07 PATHWAY D — CONFIGURE

Retrieve approved knowledge; do not manufacture authority

Best fit: retrieving current firm procedures, checklist clauses and approved templates. The assistant cites the underlying document and does not own the professional conclusion.

Step	Action	Evidence / gate
1	Define the knowledge question and authorised users	Scope is retrieval, not 'upload everything'
2–3	Inventory, deduplicate and approve documents	Owner, version, access and expiry recorded
4	Require document and section citations	Every supported answer is verifiable
5–6	Test 30 direct, ambiguous, conflicting, outdated and no-answer questions	Support, citation, completeness and refusal scored
7	Pilot on internal procedures without client files	Access and source checking operate
8	Add refresh, deletion, access review and incident handling	Corpus remains current
9	Reject custom model training unless a separate case passes	Build/no-build decision documented

For Cedar Ledger, custom foundation-model development is a no-go. The firm has no dedicated model-development capability, and the assurance burden is disproportionate to the defined retrieval need. This is a case decision, not a universal prohibition.

08 12-WEEK WORKED SEQUENCE

Combine methods without assuming a funnel

Week	Cedar Ledger activity	Decision output
1	Appoint owner; map reconciliation and close	Scope and accountability
2–5	Collect four-week baseline; classify data; review supplier	Baseline and data decision
3–4	Test standalone assistant on known internal tasks	Use / revise / stop
5–6	Test embedded AI on historical known cases	Test report and exceptions
7–8	Run two shadow close cycles	Shadow comparison
9–10	Controlled integration pilot; automation draft-only	Live pilot log
11	Recalculate total cost and quality; test rollback	Scale recommendation
12	Owner review	Scale, revise, hold or stop

This timetable demonstrates the method. It is not evidence that 12 weeks is sufficient for every firm or system.

09 MEASURE THE WHOLE OUTCOME

Time saved is not the benefit boundary

Dimension	Measures	Reason
Quality	First-pass acceptance, overrides, corrections, material errors and near misses	Detect false efficiency
Time	Median days to report, preparation, review and correction minutes per 100 transactions	Separate preparation from assurance
Capacity	Senior-review hours and time reallocated to explanation or analysis	Test augmentation mechanism
Risk	Unsupported outputs, access/confidentiality incidents and exceptions per 100 transactions	Keep denominators and consequences visible
Cost	Licences, supplier/setup, internal setup, training, review, correction, assurance and incidents	Avoid partial ROI

Firm-specific formulas

Total pilot cost = licences + supplier/setup + internal setup + training + review + correction + assurance/security + incident cost

Net measured capacity value = (baseline total hours – pilot total hours) × documented loaded hourly cost – total pilot cost

These produce a management estimate for one firm and period. They are not a sector ROI statistic and should not be compared with self-reported productivity percentages.

10 SIX DECISION GATES

Proceed, revise or stop

Gate	Proceed only when	Stop or revise when
G0 Scope	Workflow, owner, users and prohibited actions are named	Objective is generic or responsibility unclear
G1 Data	Purpose, minimisation, supplier route and access documented	Sensitive data enter an unapproved environment
G2 Known cases	Quality and failure behaviour pass the pre-registered rule	Material error, unsupported answer or missing log
G3 Shadow	Quality maintained; exceptions reach reviewer	Staff cannot explain or override output
G4 Pilot	Full cost, correction and incidents remain acceptable	Benefit disappears or controls fail
G5 Scale	Segment, support, monitoring, rollback and review approved	Material lock-in, drift or unresolved risk

Illustrative thresholds

The case does not prescribe a universal accuracy or time-saving percentage. Cedar Ledger must set thresholds before testing, based on materiality, client risk, reviewer capacity and baseline variation. Zero tolerance applies to unauthorised disclosure and unapproved material postings; other thresholds require an explicit owner decision.

11 EVIDENCE-TO-ACTION MAP

What each source can—and cannot—support

Evidence	Used for	Not used for
Accounting field and experiment	Transaction/close mechanism, known-case and human-review design	UK effect size or guaranteed saving
Accounting adoption studies	Compatibility, skills, infrastructure, trust, vendor support and cost questions	Realised benefit or micro-UK prevalence
DSIT UK research	Micro trial context, barriers, oversight and reported impact	Accounting-specific causal outcome
FRC guidance	System design, testing, education, governance and human oversight	Benefit magnitude outside audit
ICO and NCSC	Data-protection and lifecycle-security controls	Professional or commercial recommendation
NIST	Tailored govern-map-measure-manage structure	Mandatory checklist or certification

DSIT reports that micro and small firms often use informal or inexpensive tests, while limited skills, unclear need, integration difficulty, cost, regulation and data concerns remain barriers. The worked case turns the useful small-test instinct into a documented pilot rather than treating ad-hoc use as sufficient governance.

12 REUSABLE DECISION RECORD

What a real firm should retain

- Workflow, intended benefit and excluded actions.
- Accountable owner, users, reviewer and rollback owner.
- Data classes, supplier, system diagram and access route.
- Evidence used and its population, task and transfer limits.
- Baseline period, measures, denominators and pre-registered thresholds.
- Known-case, failure-test and shadow results.
- Pilot population, dates, full cost and correction effort.
- Incidents, near misses, exceptions, overrides and unresolved risks.
- Signed scale, revise, hold or stop decision.
- Rollback test, next review date and change triggers.

Final research conclusion

The evidence supports a controlled adoption process, not a predetermined adoption outcome. For a micro accounting practice, the strongest starting hypothesis is integrated transaction and close support with professional review. The correct decision may still be limited use, delay or no adoption.

13 METHODS AND SOURCES

Secondary evidence and transparent assumptions

The case combines accounting outcome evidence, accounting and SME adoption research, official UK business evidence and authoritative controls. Research findings, scenario assumptions and owner-set thresholds remain separate. No vendor claim or vendor price is used.

Control	Application
Case status	Fictional composite; no observed firm outcome
Size	Seven employees fits 1–9 official micro band and DSIT 5–9 survey frame
Transfer	US and non-UK evidence supports mechanisms only
Measurement	Four-week baseline and firm-specific pilot replace imported effect sizes
Costs	Review, correction, training, assurance and incidents included
Publication	Owner-approved on 3 August 2026

Core sources

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9. NIST — AI RMF Playbook
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This worked case is not accounting, legal, tax, audit, data-protection, investment or procurement advice.